

CHAPTER 6

# From Ideas to Startups

NCERT Exercise Solutions


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✨ Try each question yourself first, then check the answer. 💡 answers are samples: write your own.

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## The Big Questions

### 1 How does entrepreneurship impact society and the economy?

✔ ANSWER

- It creates jobs and income for households.
- It produces goods and services and boosts economic activity.
- Businesses pay taxes that fund roads, schools and hospitals.
- Innovations improve quality of life (medicines, transport, technology) and drive growth.
- Through corporate social responsibility, businesses support education, environment and healthcare.

### 2 What are some functional areas of a business?

✔ ANSWER

The four main functional areas are:

- **Management and operations** – looking after day-to-day matters (production, quality, supply chain).
- **Finance and accounting** – managing money wisely (budgeting, reporting, cash flow).
- **Human resources** – managing people (hiring, employee benefits, solving workplace conflicts).

- **Marketing and sales** – spreading awareness and driving sales (advertising, promotions).

### 3 How to develop a business plan?

✔ ANSWER

A business plan is a written document (blueprint) of the goals of the business and the steps to reach them. To develop it, think about:

- Needs and idea – what people need and what problem it solves
- Potential customers – who will use it
- Money and costs – money needed, costs, sources of funds
- Location – where it will be made and sold (store or online)
- Human resources – people and skills needed
- Pricing and profits
- Promotion or marketing
- Challenges and risks

## 💬 Discuss · From a Dead Mouse to Riches

**? The story is from the Jataka Tales. What can you take away from the tale? Is it about spotting opportunities or working smart? What kind of traits do you think entrepreneurs need to have?**

💡 SAMPLE ANSWER

- The tale shows that even a very small start (a dead mouse) can grow into a fortune with hard work and intelligence.
- It is about **both**: the young man spotted opportunities (a hungry cat, a tired flower picker, fallen branches after a storm) and worked smart, using each small earning to make the next one.
- Traits entrepreneurs need: curiosity, spotting opportunities, hard work, dedication, willingness to take risks, intelligence, gratitude and caring for society (he gave half his fortune to the merchant and helped communities).

## 🤔 Think About It · From Rooftop to Revolution

**1** **What problem was Lijjat solving beyond just selling papads?**

✔ ANSWER

- It gave homemakers a way to earn their own income and become financially independent.
- It empowered women and communities; every member is an equal owner and profits are shared equally.
- It supports education through scholarships for members' school-going children.

**2** **What challenges do you think the founders could have faced at the start? How might**

**they have overcome them?**

💡 SAMPLE ANSWER

- Challenges: very little money (only ₹80), borrowed equipment, no factory, no business degrees or investors, keeping quality the same, balancing work with household tasks.
- They overcame them with grit and unity: working from home, a strict rule that quality must be consistent, and forming a cooperative where everyone shared ownership and profits.

**3** **Can you think of a similar cooperative idea you could start in your community?**

💡 SAMPLE ANSWER

Example: a group of women in a village could form a cooperative to make and sell pickles, or stitch cloth bags to replace plastic bags. All members would share the work, own the cooperative equally and share the profits.

## ⭐ Let's Explore · Marketing and Sales

**1** **Interview two people in your vicinity who run a business (tailor, shopkeeper, factory owner, etc.): Why did they start the business? What challenges did they face? What risks were taken? What did they learn?**

💡 SAMPLE ANSWER

Sample (a local tailor):

- Why: had sewing skills and saw that people nearby needed a tailor.
- Challenges: little money to buy a machine, few customers at first, competition from ready-made clothes.
- Risks: took a loan to buy machines and rent a shop.
- Learning: good quality and delivering on time bring back customers; customers spread the word.

Do the same for a second person (e.g. a shopkeeper) and compare.

**2** **Prepare a short report on the tasks an entrepreneur performs at each stage, with reference to Fig. 6.2.**

💡 SAMPLE ANSWER

Sample report – tasks of an entrepreneur (Fig. 6.2):

- **Identifies a problem** and is determined to solve it with an innovative solution.
- **Takes risks** by investing money and time.
- **Combines various factors of production** (land, labour, capital, materials).
- **Makes key decisions** about the operation and functioning of the business.
- **Contributes to the welfare of society** through innovation.

**3** **Based on the case study of Mohan Singh Oberoi, which functional area helped improve the quality of the company's products? How did different functional areas work together? Create a business plan for your business idea using the template on Page 142.**

💡 **SAMPLE ANSWER**

- **Management and operations** improved quality: hotels were renovated and run efficiently to keep high standards. Human resources also helped by hiring and training skilled staff for excellent service.
- Working together: HR provided trained staff; finance managed money for growth and expansion; operations kept standards high; marketing built a trusted brand known for luxury and quality; all areas kept customer satisfaction as the top priority.

- Business plan: fill the template of Question 11 (see the sample answer there).

## ⭐ Let's Explore · India's Traditional Entrepreneurial Community

**1** **Find out more about other regional communities who have excelled as entrepreneurs.**

💡 SAMPLE ANSWER

Sample: Other well-known trading communities include the Marwaris of Rajasthan, the Gujarati traders (such as Banias and Bohras), the Parsis of Mumbai and the Sindhis. Like the Chettiars, they are known for trade, banking, trust-based business and helping their communities. Find details from books, the internet or elders in your area.

## ❓ Questions and activities

**1** **Explain why a business can fail even with a great idea if one functional area [finance, HR, operations, or marketing] is weak. If you were running a bakery, which functional area would you prioritise first and why?**

💡 SAMPLE ANSWER

- All functional areas work together; if one is weak, the whole business suffers.

- Weak finance: money runs out, bills and salaries cannot be paid.
- Weak HR: untrained or too few staff give poor service.
- Weak operations: products are late, wasted or of poor quality.
- Weak marketing: people do not know about the product, so sales stay low.
- For a bakery I would first prioritise **management and operations**, because fresh, high-quality products made daily without delay or wastage are what bring customers back. (Other choices with good reasons are also fine.)

**2** **Do you think innovation alone is enough to make a business successful? Why or why not?**

💡 **SAMPLE ANSWER**

No. Innovation is important, but a business also needs planning, teamwork, decision making and good management of all areas – finance, human resources, operations and marketing.

Example: Mohan Singh Oberoi succeeded not only through ideas but by training staff, managing money carefully, running hotels efficiently and building a trusted brand.

**3** **"A business plan is a dynamic roadmap for a startup." Explain this statement with suitable**

**examples. When should one change the business plan?**

💡 SAMPLE ANSWER

- A business plan is a roadmap: it sets goals and the steps to reach them, and guides decisions.
- It is dynamic because it can be changed as conditions change.
- Example: a bakery may add cheaper mini cake jars if customers find cakes costly, or start online orders if more people want delivery.
- One should change the plan when customer preferences change, competition grows, raw material costs rise, cash flow is unsteady, or a new opportunity appears.

**4** **Do you think every entrepreneur should think about the impact of their goods or services on society and the environment? Explain using relevant examples.**

💡 SAMPLE ANSWER

Yes. Entrepreneurs create value for society and should not harm people or nature.

- Eco-friendly jute bags can replace plastic.
- A bakery can use recyclable packaging.
- Lijjat made thousands of women financially independent and gives scholarships.

- The Dandekar brothers made good art materials affordable for Indian artists.

Such care also builds customers' trust in the business.

**5 (i) Dandekar brothers (1931, ink powder business in South Mumbai): What entrepreneurial qualities did they display?**

✔ ANSWER

- Determination: they did not give up despite money problems and lack of customer trust.
- Using limited resources wisely (recycled glass bottles for ink).
- Focus on quality at affordable prices.
- Spotting opportunities, taking risks, and learning/innovating (studying colour chemistry).

**5 (ii) What opportunity did they identify in the market?**

✔ ANSWER

Artists in India did not have access to good art materials. They saw this as a chance to make colours and art supplies suited to Indian needs.

**5 (iii) Was travelling to Glasgow a risky decision?**

✔ ANSWER

Yes. It needed money and time with no guarantee of success, while the business was still growing. But it was a well-thought risk: the knowledge of colour chemistry helped them improve products and grow.

**5 (iv)** **Which functional area helped the company improve its products?**

✔ ANSWER

**Management and operations** (production and quality) – they set up a laboratory to develop better colours and art supplies.

**5 (v)** **How did they serve society apart from earning profits?**

✔ ANSWER

They gave good-quality stationery at affordable prices and made good art materials available to Indian artists and students (pencils, crayons, geometry boxes, paints).

**6** **How do you think entrepreneurship is important for India's goal of becoming a developed nation by 2047?**

✔ ANSWER

- It creates jobs for India's large young population.

- It drives innovation and solves real-world problems (e-commerce, fin-tech, health-tech, agri-tech).
- It boosts economic growth and tax income for roads, schools and hospitals.
- It makes India self-reliant (Atmanirbhar Bharat) by producing locally.
- It empowers communities and supports sustainability – all needed for Viksit Bharat 2047.

**7** **Choose a product or service and develop a business plan for it: business name, business idea, target customers, product/service and price, marketing idea, basic cost and expected profit.**

💡 **SAMPLE ANSWER**

| Item | Plan |
|---|---|
| Business name | Fresh Sip Lemonade |
| Business idea | Fresh, hygienic nimbu pani sold near the school and market |
| Target customers | Students, parents, shoppers |
| Product and price | Lemonade ₹10 per glass; mint lemonade ₹15 |
| Marketing idea | Posters, school events, word of mouth, free taste on the first day |

| | |
|---|---|
| Basic cost and profit | Cost about ₹4 per glass; 100 glasses a day → revenue ₹1,000, cost ₹400, profit about **₹600 a day** |

**8** **Find out about various government schemes to promote entrepreneurs in India. Learn about their eligibility. Prepare a write-up and discuss in the class.**

💡 **SAMPLE ANSWER**

Sample: The chapter names **Startup India**, which supports Atmanirbhar Bharat. Other schemes you can look up include Stand-Up India, Pradhan Mantri Mudra Yojana (small loans) and the Prime Minister's Employment Generation Programme (PMEGP).

For each, note: who can apply (age, type of business, new or existing), what help is given (loan, training, tax benefit) and how to apply. Check the latest details on official government websites.

**9** **Take any popular brand and identify: the problem it tackles, its initial target customers, how it differentiated itself, and the resources it may have started with.**

💡 **SAMPLE ANSWER**

Sample – Lijjat Papad:

- Problem: homemakers needed income; people wanted tasty, good-quality papads.

- Initial customers: local families in Mumbai.
- Difference: consistent quality; a cooperative where every woman member is an equal owner.
- Starting resources: seven women, borrowed equipment, a recipe and ₹80.

**10** **Over the next week, observe your daily routine and identify 2–3 problems. For each answer in a table: Who faces it? How often? Why hasn't it been solved? What business idea could solve it? Would people pay?**

💡 **SAMPLE ANSWER**

| Question | Problem 1: heavy school bags | Problem 2: no clean drinking water at the bus stop |
|---|---|---|
| Who faces it? | Students | Commuters, students |
| How often? | Every school day | Daily, mostly in summer |
| Why not solved? | Many books needed daily | No one has taken responsibility |
| Business idea | Book-locker rental at school / low-cost light bags | Water ATM selling filtered water cheaply |
| Would people pay? | Yes, a small fee | Yes, ₹1–2 per glass |

**11** **Think of your startup idea and fill in the business plan template: (a) business idea, (b) entrepreneur profile, (c) target customers, (d) market research, (e) product/service description, (f) resources, (g) operations plan, (h) marketing plan, (i) financial plan, (j) risks and challenges, (k) social and environmental impact, (l) conclusion.**

💡 **SAMPLE ANSWER**

Sample – a cloth-bag startup:

- **a. Business idea:** "GreenCarry"; stitched cloth bags; tagline "Say no to plastic".
- **b. Founders:** three classmates. Why: plastic bags litter our area. Problem solved: gives a cheap reusable bag.
- **c. Target customers:** local residents, shopkeepers, students.
- **d. Market research:** people need strong, cheap bags; plastic and costly bags exist; ours are cheap, washable and made from old cloth.
- **e. Product:** strong cloth bags in 2 sizes; reusable, washable, eco-friendly.
- **f. Resources:** HR – 2 tailors; Finance – savings + family; Materials – old cloth, thread; Technology – sewing machine; Infrastructure – a room at home.
- **g. Operations:** collect cloth → wash and cut → stitch → check quality → sell at shops and market.

- **h. Marketing:** posters, school events, social media, local market, word of mouth.
- **i. Financial plan:** source – savings; monthly cost (cloth, thread, wages, electricity) ₹6,000; revenue 400 bags × ₹25 = ₹10,000; expected profit = ₹10,000 − ₹6,000 = **₹4,000**.
- **j. Risks:** competition, low demand, rising cloth cost.
- **k. Impact:** less plastic waste; income for local tailors.
- **l. Conclusion:** it meets a real need, is cheap and good for the environment.

**12** **Visit a factory or production unit. Ask the owner/manager about its product, customers, start, early challenges, finances, hiring/training and supply. Make a process map, identify barriers to growth (financial, technical, HR, market, regulatory), suggest solutions and prepare a presentation and report.**

💡 **SAMPLE ANSWER**

Sample report (a small biscuit unit):

- **Introduction:** makes biscuits; customers are local shops and wholesalers; started by the owner with a bank loan.
- **Process map:** raw materials (flour, sugar, oil) → mixing → shaping → baking → cooling → packing → wholesaler → retailer → customer.

- **Resources:** raw materials, mixers and ovens, 15 workers, 1 manager.
- **Barriers:** financial – hard to get more loans; technical – old ovens; HR – trained bakers leave; market – big brands compete; regulatory – many licences and paperwork.
- **Solutions:** use government loan schemes, buy energy-saving ovens, give training and better pay, sell a unique local flavour online, get help to complete approvals.
- **Reflection:** running a business needs planning, teamwork and handling many risks.

🎉 **Chapter 6 done! Revise the answers once more tomorrow.**